THE WRONG PLAINTIFF

CONTRACT DAMAGES VERSUS NETWORK EXPULSION AND THE COLLAPSE OF DISTRIBUTED GOVERNANCE

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Abstract

Courts awarding standard contract remedies can destroy private network governance. In collectively governed trading networks, commercial cooperation often depends on the credible threat of ostracism. That threat is best understood as a club good: excludable because only members benefit from the network's ability to sanction rule-breakers, and nonrivalrous because one member's benefit from that enforcement capacity does not diminish another's. Indeed, the threat often exhibits positive network effects: the larger the network, the greater the cost of exclusion and the stronger the deterrent.

Yet courts sometimes undermine a network's power to ostracize by applying a doctrinal framework that identifies only the individual promisee as the injured party. When judicial intervention displaces the network's authority to exclude violators, it converts collective exclusion from a property rule into a liability rule and degrades the club good into a public good. Making one obligee whole through expectation damages can therefore produce a net welfare loss by weakening the credibility of exclusion. A court's effort to remedy a single breach may thus eliminate the incentive to maintain the network itself. Courts must recognize this mechanism to avoid collapsing valuable transactional networks.

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Introduction

Contract remedies doctrine assumes that breach harms only the promisee. When a seller fails to deliver goods, the buyer suffers. When a contractor abandons a project, the owner pays for completion. Expectation damages (the amount of money needed to put the promisee in the economic position performance would have achieved) compensate the individual who did not receive performance, and the matter closes.[1] For most contracts, that assumption holds. A buyer and a seller transact once, part ways, and neither owes anything to anyone else. Identifying the promisee as the injured party is obvious and correct.

An important category of commercial arrangements does not fit that assumption. Diamond dealers in New York and Antwerp conduct tens of thousands of dollars in transactions on oral credit, without written contracts, enforced not by courts but by the collective threat of expulsion from the trading network.[2] Medieval Maghribi merchants sent goods across the Mediterranean to agents they had never met, sustained by a coalition that punished cheaters by cutting them off from all future dealings.[3] Cotton trade associations maintain arbitration systems backed by the power to expel noncompliant members.[4] In each of these settings, breach harms more than the counterparty who did not receive performance. An injured party is also the network: every member whose willingness to extend credit, ship goods, or comply with arbitration depended on the credible threat that rule-breakers would be excluded.

Contract doctrine has no framework for recognizing that additional injured party. Remedies doctrine measures harm by reference to what the individual promisee lost, compensates the promisee, and treats the matter as resolved.[5] The assumption that only the promisee is harmed persists even after efficient breach theory's own architects abandoned the theory. Scott, who with Goetz coined the term "efficient breach" in 1977, concluded in 2015 that the concept is "both a null set as well as an oxymoron."[6] Klass's survey of the field found that "today no economic thinker defends the simple theory."[7] Yet the structural premise underlying the theory, that only the individual promisee's welfare is affected by breach, remains embedded in how

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[1] Expectation damages are the standard remedy for breach of contract. They compensate the injured party by putting the party in the economic position performance would have achieved. *See* Restatement (Second) of Contracts § 347 (Am. L. Inst. 1981).

[2] Lisa Bernstein, *Opting Out of the Legal System: Extralegal Contractual Relations in the Diamond Industry*, 21 J. LEGAL STUD. 115, 121-24 (1992) (describing mandatory arbitration and expulsion mechanisms in diamond bourses).

[3] Avner Greif, *Contract Enforceability and Economic Institutions in Early Trade: The Maghribi Traders' Coalition*, 83 AM. ECON. REV. 525, 530-32 (1993) (documenting how Maghribi traders coordinated collective punishment of cheaters through a coalition that reported misconduct and organized refusal to deal).

[4] Lisa Bernstein, *Private Commercial Law in the Cotton Industry: Creating Cooperation Through Rules, Norms, and Institutions*, 99 MICH. L. REV. 1724, 1745-60 (2001) (describing the cotton industry's self-governing trade associations, which maintain arbitration systems, enforce compliance through expulsion, and operate a bonding system that serves as a collective guarantee of member performance).

[5] *See* Charles J. Goetz & Robert E. Scott, *Liquidated Damages, Penalties and the Just Compensation Principle: Some Notes on an Enforcement Model and a Theory of Efficient Breach*, 77 COLUM. L. REV. 554, 558-62 (1977) (formalizing the expectation damages framework and proving that damages create efficient breach incentives only when the damages measure captures all costs the breach imposes).

[6] Robert E. Scott, *Contract Design and the Shading Problem*, 99 MARQ. L. REV. 1, 11 (2015).

[7] Gregory Klass, *Efficient Breach*, in The Philosophical Foundations of Contract Law 362, 362 (Gregory Klass, George Letsas & Prince Saprai eds., 2014).

courts identify injured parties and calculate damages. Every scholar in the efficient breach debate, regardless of whether they defend or attack the theory, shares that premise.[8]

Adjacent scholarship has noticed related problems without connecting them to the question of who is injured by breach. Macneil recognized that contract law's assumption of one-time, self-contained transactions fails to describe ongoing commercial relationships, and Williamson explained why parties choose informal governance over formal contracts when transactions are frequent, involve relationship-specific investments, and occur under uncertainty.[9] Both insights are foundational. But both scholars keep the unit of analysis between two parties: Macneil's relational norms run between a promisor and a promisee, and Williamson asks which governance structure minimizes transaction costs for a given transaction.[10] Neither considers obligations owed to a group, and neither asks what happens when a court destroys the governance structure the parties chose.[11] Ellickson demonstrated that informal norms can be more efficient than formal law, but Ellickson's Shasta County ranchers enforce norms between two people at a time; no collective governance body investigates defaults or coordinates sanctions across the community.[12]

Teubner came closest to diagnosing the structural mismatch. In *Networks as Connected Contracts*, Teubner argued that contract law's assumption that only the contracting parties are affected by breach misrepresents network relationships, and that applying remedies designed for transactions between two parties to networked obligations fragments the coordination that makes networks function.[13] What Teubner did not provide is the mechanism: the specific account of how and why remedies aimed at the individual promisee destroy network governance.

This Article provides that mechanism by connecting two bodies of scholarship that have not previously been joined. Buchanan's theory of club goods explains the economic structure of the shared benefit that network members enjoy: a good that is nonrivalrous among members and excludable from rule-breakers through expulsion.[14] Calabresi and Melamed's distinction between property rules and liability rules explains what happens when a court intervenes: judicial action converts the network's exclusion authority from a property rule (only the network can revoke

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[8] *See* Daniel Friedmann, *The Efficient Breach Fallacy*, 18 J. LEGAL STUD. 1 (1989); Richard Craswell, *Contract Remedies, Renegotiation, and the Theory of Efficient Breach*, 61 S. CAL. L. REV. 629 (1988); Seana Valentine Shiffrin, *Could Breach of Contract Be Immoral?*, 107 MICH. L. REV. 1551 (2009); Charles Fried, CONTRACT AS PROMISE: A THEORY OF CONTRACTUAL OBLIGATION (1981); Daniel Markovits & Alan Schwartz, *The Myth of Efficient Breach: New Defenses of the Expectation Interest*, 97 VA. L. REV. 1939 (2011); Steven Shavell, *The Design of Contracts and Remedies for Breach*, 99 Q.J. ECON. 121 (1984); Matthew A. Seligman, *Moral Diversity and Efficient Breach*, 117 MICH. L. REV. 885 (2019). Every one of these scholars assumes the individual promisee is the injured party. None examines whether that identification is correct in network contexts.

[9] Ian R. Macneil, *Relational Contracts: What We Do and Do Not Know*, 1985 WIS. L. REV. 483, 483-93.

[10] *Id.* at 485-90 (introducing the spectrum from discrete to relational transactions and arguing that classical contract law distorts the analysis when applied to relational contracts).

[11] *Id.* at 487-93.

[12] Robert C. Ellickson, ORDER WITHOUT LAW: HOW NEIGHBORS SETTLE DISPUTES 167-201 (1991) (demonstrating that Shasta County ranchers resolve disputes through informal norms enforced by community reputation, with virtually no resort to courts).

[13] Gunther Teubner, NETWORKS AS CONNECTED CONTRACTS 47-65 (Hugh Collins ed., 2011) (arguing that contract law's assumption that only the contracting parties are affected by breach produces systematic doctrinal errors when courts resolve disputes arising within networks).

[14] James M. Buchanan, *An Economic Theory of Clubs*, 32 ECONOMICA 1, 1-14 (1965).

membership) into a liability rule (a court determines the price of continued membership).[15] Connecting Buchanan to Calabresi and Melamed through the empirical work of Bernstein, Greif, and Ostrom reveals the mechanism: judicial intervention degrades a club good into a public good, triggering free-riding and governance deterioration.

Trading Networks Sustain Cooperation Through Exclusion

The mechanism begins with an empirical puzzle. Standard contract theory predicts that unsecured credit between strangers will be routinely exploited, yet four independent bodies of research document near-zero default rates in trading networks that operate without courts. Understanding what keeps these traders honest is a prerequisite to understanding what judicial intervention destroys.

Bernstein, Greif, Landa, and Ostrom Documented Cooperation Without Courts

Standard contract theory predicts that unsecured credit in one-time deals will be routinely exploited. When a dealer buys goods on credit and the only consequence of default is a court judgment payable to the seller, a rational dealer will skip payment whenever the savings exceed the probability-weighted cost of the judgment.16 Bernstein found that prediction wrong. Diamond dealers routinely buy and sell rough stones worth tens to hundreds of thousands of dollars on forty-five-day oral credit with no written contract beyond a handshake.17 Among her informants, Bernstein found a single case of a missed payment over decades of trading.18

Greif documented the same pattern in a different century and commodity: Maghribi traders in the eleventh century sent goods on consignment across the Mediterranean to agents they had never met, relying on a coalition that reported cheaters and coordinated collective refusal to deal.[19] Landa found a parallel institution among ethnically Chinese Hokkien merchants in the Malaysian rubber markets of the 1960s, where kinship ties and codes of Confucian ethics sustained exchange without formal legal infrastructure.[20] Milgrom, North, and Weingast documented a centralized record-keeper at the medieval Champagne Fairs who tracked compliance histories, enabling punishment by traders who had never dealt with the cheater

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[15] Guido Calabresi & A. Douglas Melamed, *Property Rules, Liability Rules, and Inalienability: One View of the Cathedral*, 85 HARV. L. REV. 1089, 1092 (1972).

[16] Goetz & Scott, *supra* note 5, at 558-62 (showing that the incentive to breach depends on the ratio of private gain to expected penalty).

[17] Bernstein, *supra* note 2, at 120-35 (documenting the widespread use of oral agreements, handshake deals, and unsecured credit in the diamond industry, and describing transactions in which dealers routinely extend credit of $25,000 to $100,000 or more on no security beyond the counterparty's word).

[18] *Id.* at 127 ("Among my informants, I found only one case of breach of payment obligation in many decades of trading.").

[19] Greif, *supra* note 3, at 525-30 (documenting how Maghribi traders in the eleventh century sent goods on consignment across the Mediterranean to agents they had never met in person, relying on the coalition's collective enforcement mechanism rather than courts or individual contractual remedies).

[20] Janet T. Landa, *A Theory of the Ethnically Homogeneous Middleman Group: An Institutional Alternative to Contract Law*, 10 J. LEGAL STUD. 349, 349-62 (1981).

personally.[21] Ostrom showed the same structure in common-pool resource communities: fisheries, irrigation systems, and grazing lands maintained compliance with shared rules for centuries, without courts or police.[22] Bernstein's later study of the cotton industry found yet another instance: trade associations maintain arbitration systems, and members who refuse to comply face expulsion.[23]

The pattern appears across industries, centuries, and continents.[24] Diamond handshakes involve sums that would justify fraud under the standard model. Maghribi shipments crossed the Mediterranean over weeks to agents the sender would never meet. What these networks share is not a cultural disposition toward honesty but a governance structure that makes cheating irrational.

Network Governance Replaced Trust as the Analytical Framework

Scholars long described these networks using the word "trust." Williamson challenged that framing in 1993, arguing that "calculative trust is a contradiction in terms": commercial actors extend credit not because they believe in a counterparty's moral character but because the institutional structure makes default more costly than compliance.25 Bernstein sharpened Williamson's insight in her 2015 article Beyond Relational Contracts, introducing "network governance" as the analytical concept that replaces trust in the legal literature.26 Network governance, as Bernstein defines the term, is the collective force of reputation-based, non-legal sanctions flowing from a firm's position within a network of interconnected firms.27 Bernstein showed that trust is an output of governance mechanisms, not an input: networks generate trust by sustaining the conditions under which cooperation is rational.28 Bernstein and Peterson's 2022 study of OEM-supplier relationships confirmed this in a modern industrial context:

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[21] Paul R. Milgrom, Douglass C. North & Barry R. Weingast, *The Role of Institutions in the Revival of Trade: The Law Merchant, Private Judges, and the Champagne Fairs*, 2 ECON. & POL. 1, 4-18 (1990) (modeling the Law Merchant system as an institution that solved the information problem inherent in multilateral punishment by providing a centralized record of traders' compliance, enabling collective sanctions against cheaters by merchants who had no personal experience with the cheater).

[22] Elinor Ostrom, GOVERNING THE COMMONS: THE EVOLUTION OF INSTITUTIONS FOR COLLECTIVE ACTION 58-102 (1990). *Cf.* Garrett Hardin, *The Tragedy of the Commons*, 162 Science 1243, 1244-45 (1968) (predicting that shared resources are inevitably overexploited). Ostrom's central achievement was demonstrating that Hardin's prediction is wrong: communities regularly solve the shared-resource problem through self-governance.

[23] Bernstein, *supra* note 4, at 1745-60.

[24] *See generally* Landa, *supra* note 20, at 352 tbl.1 (presenting the "calculus of relations" as a system of concentric circles of trader reliability, from near kinsmen at the center to non-Chinese strangers at the periphery); Greif, *supra* note 3, at 860-68 (providing granular evidence of the Maghribi coalition's coordination mechanism).

[25] Oliver E. Williamson, *Calculativeness, Trust, and Economic Organization*, 36 J.L. & ECON. 453, 463-68 (1993).

[26] Lisa Bernstein, *Beyond Relational Contracts: Social Capital and Network Governance in Procurement Contracts*, 7 J. LEGAL ANALYSIS 561, 561-65 (2015).

[27] *Id.* at 565 (defining network governance as "the collective force of reputation-based, non-legal sanctions flowing from a firm's position within a network of interconnected firms").

[28] *Id.* at 576-80.

contract governance regimes scaffold the emergence of inter-firm trust even among firms with no pre-existing social ties.29

Network Structure, Not Ethnicity, Determines Governance Capacity

Bernstein's 2019 reanalysis of the Maghribi traders challenged a second assumption in the private ordering literature. Greif had modeled the Maghribi as a coalition: a centralized institutional structure that collected information about misconduct, disseminated findings to members, and coordinated multilateral punishment.30 Historians challenged Greif's coalition model, citing lack of evidence for market-wide boycotts and noting non-Maghribi participation in the trade.31

Bernstein reanalyzed the same historical evidence and proposed a different mechanism. Drawing on network topology research, Bernstein argued that the Maghribi traders operated within a small-world network: dense local clusters of traders who transacted frequently with one another, connected by sparse long-distance ties through key intermediary figures she called "merchant's representatives."[32] These representatives served as bridge nodes connecting geographically dispersed trading clusters and aggregating reputational information.[33] Reputational information traveled efficiently not because a central body disseminated it but because the network's structure (high local clustering combined with short average path lengths) allowed news of cheating to propagate rapidly across the Mediterranean. Market-wide boycotts were unnecessary. Information about an agent's misdeeds needed to reach only that agent's personal trading network to create sufficiently strong reputational consequences.[34]

Bernstein's reanalysis carries an important implication for the scope of network governance. If network structure rather than ethnic homogeneity drives governance capacity, then network governance is not limited to close-knit ethnic enclaves. Blanchard confirmed this in her 2022 study of heterogeneous business networks, showing that networks without ethnic or social ties can sustain high-stakes trade when the network's structural properties (density of connections, speed of information transmission, credibility of exclusion) are present.[35] Jennejohn's 2022 study added a cautionary note: networks can impose costs as well as provide governance benefits, particularly in innovation-intensive settings where information leakage through network ties is a

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[29] Lisa Bernstein & Brad Peterson, *Managerial Contracting: A Preliminary Study*, 14 J. LEGAL ANALYSIS 176 (2022) (examining how contract governance regimes in OEM-supplier relationships scaffold the emergence of inter-firm trust and strengthen network governance).

[30] Greif, *supra* note 3, at 530-32.

[31] *See* Jeremy Edwards & Sheilagh Ogilvie, *Contract Enforcement, Institutions, and Social Capital: The Maghribi Traders Reappraised*, 65 Econ. Hist. Rev. 421, 421-22 (2012) (challenging Greif's coalition model and citing lack of evidence for market-wide boycotts).

[32] Lisa Bernstein, *Contract Governance in Small-World Networks: The Case of the Maghribi Traders*, 113 NW. U. L. REV. 1009, 1013-25 (2019).

[33] *Id.* at 1030-38 (describing the merchant's representative as a bridge node connecting geographically dispersed trading clusters and aggregating reputational information).

[34] *Id.* at 1042-50 (arguing that market-wide boycotts were unnecessary because the bridge-and-cluster structure economized on information costs, allowing reputational information to reach the cheater's personal trading network without requiring dissemination to the entire group).

[35] Sadie Blanchard, *Contracts Without Courts or Clans: How Business Networks Govern Exchange*, 57 GA. L. REV. 233 (2022).

concern.[36] Bernstein's own reinterpretation of the Landa-Greif-Bernstein trilogy reached the conclusion that the canonical case studies of ethnically based trade "are just special cases of a more general phenomenon, network governance, that can affect the security of exchange in a wide variety of markets."[37]

Exclusion Makes Cooperation Rational

Across all documented networks, one enforcement mechanism is consistent: exclusion. A diamond dealer who defaults on a payment loses access to the entire bourse: every future purchase, every future sale, every future line of credit.38 A Maghribi merchant who cheats one trader faces collective refusal to deal from every Maghribi trader across the Mediterranean.39 A fisher who overharvests loses access to the fishing ground the whole community manages.40 A cotton merchant who refuses to comply with an arbitration award faces expulsion from the trade association and loss of the association's bonding system.41

One-on-one reputation, where a trader avoids cheating because cheating would damage the trader's reputation with one particular counterparty, is too weak to explain this pattern. In a large network, any particular pair of traders transact infrequently or only once. If the only consequence of cheating is losing one relationship, the cheater faces a low cost: one lost counterparty among hundreds. Hirschman distinguished between "exit" (leaving an organization voluntarily) and "voice" (complaining from within); in a collectively governed network, the group wields a third option: forced exit.[42] A dealer deciding whether to skip a $100,000 payment weighs the savings against the loss of every future business relationship in the industry. That loss is worth millions of dollars over a career. Expulsion, not one-on-one reputation, is what makes the calculus overwhelmingly favor compliance.

Richman has documented that even this governance structure is not invulnerable. In the diamond industry, network governance is eroding not because of court intervention but because of exogenous shocks: De Beers's strategic shift from buyer of last resort to aggressive competitor, rising rough diamond prices that squeezed midstream margins, entry of Indian merchants who fragmented community enforcement, and intergenerational exit as members' children chose other careers.[43] Richman's evidence is important for two reasons. First, it confirms that the governance system depends on the credible threat of exclusion, because the system weakens precisely when exogenous forces dilute that threat. Second, it means that judicial

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[36] Matthew Jennejohn, *Do Networks Govern Contracts?*, 48 J. CORP. L. 1 (2022) (showing that networks can impose costs as well as provide governance, particularly in innovation-intensive settings where information leakage through network ties is a concern).

[37] Bernstein, Remarks at the 2020 Coase Lecture, University of Chicago (unpublished).

[38] Bernstein, *supra* note 2, at 120-35.

[39] Greif, *supra* note 3, at 525-30.

[40] Ostrom, *supra* note 22, at 58-102.

[41] Bernstein, *supra* note 4, at 1745-60.

[42] Albert O. Hirschman, EXIT, VOICE, AND LOYALTY: RESPONSES TO DECLINE IN FIRMS, ORGANIZATIONS, AND STATES 21-43 (1970).

[43] Barak D. Richman, STATELESS COMMERCE: THE DIAMOND NETWORK AND THE PERSISTENCE OF RELATIONAL EXCHANGE (2017) (documenting how the diamond industry's network governance is eroding due to exogenous market pressures including De Beers's strategic shift, rising rough diamond prices, entry of Indian merchants, and intergenerational exit).

intervention that further weakens the exclusion mechanism is particularly harmful to networks already under strain. A robust network might weather a court decision that reverses an expulsion. A fragile network cannot. Removing the last remaining governance pillar at the moment when external pressures are already eroding the system accelerates the collapse.

The Credible Threat of Exclusion Is a Club Good

Exclusion sustains cooperation across every network the literature has documented. The next question is what kind of shared benefit exclusion creates and why that benefit is vulnerable to judicial intervention. Buchanan's theory of club goods provides the framework: the credible threat of exclusion produces a good that every member shares, that no member's use diminishes, and that rule-breakers can be denied. Mapping the empirical evidence onto Buchanan's framework reveals the specific vulnerability that courts exploit when they intervene.

Buchanan Defined Club Goods as Shared and Excludable

Buchanan identified a category of goods that occupy a position between private goods and public goods.44 A private good is rivalrous (one person's consumption diminishes what remains for others) and excludable (owners can prevent others from using it). A public good is nonrivalrous (one person's enjoyment does not reduce anyone else's) and nonexcludable (no one can be denied access). Clean air and national defense are standard examples: everyone benefits, no one's benefit reduces another's, and no one can be kept from benefiting.

Public goods are chronically undersupplied because of what Olson called the free-rider problem: rational actors will not voluntarily bear the costs of maintaining a good they can enjoy for free.[45] The larger the group, the less likely any individual will contribute, because each individual's share of the benefit is small relative to the cost of contributing. Taxes exist because voluntary contributions will not pay for national defense.

Buchanan's club good sits between these poles. A club good is nonrivalrous among members (one member's use does not diminish another's) but excludable (nonmembers and rule-breakers can be denied access).[46] A golf club illustrates the concept: every member uses the course without diminishing another member's enjoyment, yet the club can deny access to nonmembers and revoke membership from members who violate the rules. The ability to exclude is not incidental to the club good. Excludability is the feature that distinguishes a club good from a public good and prevents the free-rider problem from destroying the good's provision. Remove the exclusion mechanism and a club good degrades into a public good, subject to exactly the free-rider dynamics Olson described.[47]

Exclusion Authority Maps onto Buchanan's Definition

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[44] Buchanan, *supra* note 14, at 1-14.

[45] Mancur Olson, THE LOGIC OF COLLECTIVE ACTION: PUBLIC GOODS AND THE THEORY OF GROUPS 53-65 (1965).

[46] Buchanan, *supra* note 14, at 1-5.

[47] *Id.* at 5-12 (showing that excludability is the mechanism that prevents free-riding and sustains provision of the club good).

The credible threat of exclusion in a collectively governed trading network maps precisely onto Buchanan's definition. The threat is nonrivalrous among members: when dealer A relies on the knowledge that cheaters will face expulsion, dealer A's reliance does not diminish dealer B's ability to rely on the same knowledge. Indeed, each act of enforcement strengthens every member's confidence in the threat, because each act confirms that the network will follow through. The threat is excludable: expelled members lose the benefit. A dealer who has been removed from the bourse cannot rely on the expulsion threat to make counterparties extend credit, because the expelled dealer is no longer part of the community that enforces the norm.

This is the bridge between Buchanan and Bernstein. Buchanan provided the economic framework for understanding goods that are shared and excludable. Bernstein, Greif, Landa, and Ostrom provided the empirical evidence that collectively governed networks sustain cooperation through exclusion. Neither side made the connection. Buchanan did not write about trading networks. Bernstein, Greif, and their colleagues documented the governance structure without characterizing it in club-goods terms. Connecting the two reveals something that neither body of scholarship on its own makes visible: the credible threat of exclusion is a club good, and anything that undermines excludability degrades the good into a public good subject to free-riding.

Buchanan's framework also explains what sustains the good. Members invest in governance: monitoring counterparties, reporting defaults, participating in arbitration, bearing the costs of expulsion proceedings. Each member invests because each member benefits from the credible threat that investment maintains. Iannaccone's research on high-demand groups explains why the membership requirements that networks impose (mandatory arbitration, bond requirements, ongoing participation in governance activities) function not as incidental barriers but as mechanisms that screen for members willing to submit to collective governance and that deter free-riders who would enjoy the benefit without bearing the cost.[48]

Ali and Miller Showed That Calibration Authority Strengthens Exclusion

Ali and Miller's formal analysis of ostracism adds a refinement that matters for how courts interact with exclusion authority. Ali and Miller proved that permanent ostracism, where a guilty member is expelled forever with no possibility of readmission, is self-defeating when communication among members is strategic.49 Once a member learns that a cheater will be permanently expelled, that member's "social collateral" with the cheater vanishes. The member has no reason to report the cheating truthfully, because the member no longer anticipates future dealings with the expelled cheater. Concealing guilt and exploiting remaining partners becomes individually rational.

Temporary ostracism with the possibility of forgiveness solves this problem. When guilty members face eventual readmission, innocent members retain a forward-looking incentive to report cheating truthfully, because they anticipate cooperating with the punished member again.[50] Ali and Miller proved that with sufficient patience or community size, temporary

[48] Laurence R. Iannaccone, *Why Strict Churches Are Strong*, 99 AM. J. SOCIO. 1180, 1180-211 (1994) (explaining how costly membership requirements screen out free-riders and select for members willing to invest in collective governance).

[49] S. Nageeb Ali & David A. Miller, *Ostracism and Forgiveness*, 106 AM. ECON. REV. 2329, 2329-48 (2016).

[50] *Id.* at 2340-48.

ostracism strictly dominates both permanent ostracism and enforcement limited to the two parties in a given transaction. Forgiveness, as Ali and Miller put it, "tempers the threat players face on the equilibrium path but maintains the threat of third-party punishment off the equilibrium path."[51]

Ali and Miller's companion paper extended the framework to market settings specifically. Ali and Miller showed that truthful communication about cheaters is incentive-compatible in trading communities when at least one side of the transaction has its cooperation guaranteed by external enforcement or structural commitment.[52] The result implies that networks function best when the network retains control over the calibration of sanctions, including the decision of when, whether, and on what conditions to readmit expelled members.

Calibration authority also includes distinguishing inadvertent from deliberate breach. A bourse arbitrator who knows a dealer missed payment because of a family medical emergency treats that default differently from a dealer who missed payment to test limits. A cotton association that learns a member shipped nonconforming goods because of a supplier's error treats that breach differently from a member who knowingly shipped inferior product. The network's contextual knowledge, its familiarity with the members' histories and circumstances, is what makes graduated sanctions possible. A court applying general contract principles sees two identical breaches: nonperformance is nonperformance. Judicial intervention destroys precisely the calibration that distinguishes accidental from strategic default, replacing a system that can forgive with a system that cannot tell whether forgiveness is warranted.[53]

Ali and Miller's result has a direct implication for judicial intervention. The network's governance power depends not on the finality of exclusion but on the network's unilateral authority over the exclusion decision, including the decision of when and whether to readmit. A network that can calibrate sanctions (forgiving minor first offenses, imposing temporary exclusion for moderate violations, permanently expelling repeat offenders) governs more effectively than a network limited to a single sanction. When a court displaces that calibration authority, whether by ordering reinstatement, imposing procedural requirements, or awarding damages that allow the cheater to buy continued membership, the court does not simply override one expulsion decision. The court eliminates the network's ability to calibrate. That loss is worse than the loss of any single expulsion, because calibration is what Ali and Miller showed makes the exclusion system effective.

Judicial Intervention Degrades the Club Good into a Public Good

The credible threat of exclusion is a club good sustained by the network's unilateral authority over membership. Calabresi and Melamed's distinction between property rules and liability rules

[51] *Id.* at 2335.

[52] S. Nageeb Ali & David A. Miller, *Communication and Cooperation in Markets*, 14 Am. Econ. J.: Microeconomics 1, 1-25 (2022) (modeling trading communities and showing that truthful communication about cheaters is incentive-compatible when at least one side has cooperation guaranteed by external enforcement or sequential commitment).

[53] Bernstein, *supra* note 2, at 129-31 (describing the deliberate vagueness of diamond network rules, which allows the community to distinguish between innocent delays caused by cash-flow problems and strategic defaults intended to test limits).

identifies what happens when a court displaces that authority: the entitlement structure changes, and the club good degrades.

Calabresi and Melamed Distinguished Property Rules from Liability Rules

Calabresi and Melamed drew a distinction in 1972 between two ways the law can protect an entitlement.54 Under a property rule, no one can take the entitlement without the holder's consent. A homeowner's right to keep a house is protected by a property rule: no private party can force a sale. Under a liability rule, someone can take the entitlement by paying a court-determined price. When the government needs land for a highway, eminent domain converts the homeowner's protection from a property rule to a liability rule: the government takes the house and pays what a court determines the house is worth.55

The choice between property rules and liability rules depends, in Calabresi and Melamed's account, on transaction costs and information costs.[56] When bargaining between parties is feasible and inexpensive, a property rule is appropriate because the parties can negotiate a voluntary exchange at a price that reflects the entitlement's true value to both sides. When bargaining is too costly or impossible (because the parties are too numerous, too dispersed, or unable to identify one another), a liability rule allows the transfer to occur at a court-determined price rather than not at all. Kaplow and Shavell extended this analysis, proving that even imprecise liability rules often outperform property rules because property rules produce binary, all-or-nothing outcomes that amplify the costs of adjudication error.[57] Kaplow and Shavell's argument, however, assumes that a court can produce a rough estimate of the entitlement's value. In the network context, as the next subsection shows, that assumption fails because the value of the club good depends on the credibility of the exclusion threat, which is precisely what judicial intervention undermines.

Henry Smith's work on the Calabresi-Melamed framework adds an institutional dimension. Smith argues that converting a property rule into a liability rule does not merely reassign an entitlement; the conversion can destabilize the institutional structure that the property rule supported.[58] The systemic effects that follow when legal rules interact with existing governance arrangements extend beyond the parties to the immediate dispute. Applied to network governance, Smith's insight explains why substituting damages for expulsion produces consequences that the court cannot see when it looks only at the parties before it.

Judicial Intervention Converts Exclusion from a Property Rule into a Liability Rule

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[54] Calabresi & Melamed, *supra* note 15, at 1089-93.

[55] *Id.* at 1092 (using eminent domain as the paradigmatic example of a liability rule).

[56] *Id.* at 1106-10.

[57] Louis Kaplow & Steven Shavell, *Property Rules Versus Liability Rules: An Economic Analysis*, 109 HARV. L. REV. 713 (1996) (proving that even imprecise liability rules often outperform property rules because property rules produce binary, all-or-nothing outcomes that amplify the costs of adjudication error).

[58] Henry E. Smith, *Complexity and the Cathedral: Making Law and Economics More Calabresian*, 48 Eur. J.L. & Econ. 43 (2019) (arguing that the Calabresi-Melamed framework must account for complex systems effects, including the destabilization of institutional structures when property rules are converted to liability rules).

When courts do not intervene in network governance, the network's exclusion authority operates as a property rule. Only the network, through its own governance processes, can revoke membership. No outside party can buy a cheater's way back in. The network decides who to expel, when to expel, and whether to readmit, without judicial permission or review.

Judicial intervention converts that property rule into a liability rule. The conversion takes three forms, each with the same structural consequence.

First, a court may award expectation damages to the promisee, compensating the counterparty for the breach but leaving the breacher inside the network or insulated from the full consequences of exclusion. The breacher pays a judicially determined price and retains access to the network's governance benefits.

Second, a court may impose procedural requirements on the network's expulsion process. Requiring notice, hearing, and proportionality review before expulsion converts the network's governance authority into something that operates only when a court is satisfied with the procedures. Expulsion becomes slower, more expensive, and less certain.

Third, a court may stay an expulsion pending judicial review. During the pendency of review, the expelled member retains access to the network, and every other member observes that expulsion is not immediate or final.

Each form of intervention has the same structural consequence: exclusion authority is no longer absolute. Exclusion is subject to external review, procedural conditions, or damages liability. A property rule has been converted into a liability rule.

Calabresi and Melamed identified the conditions under which a liability rule is preferable to a property rule: when bargaining between the parties is too costly and when a court can measure the value of what was taken with reasonable accuracy.[59] Neither condition holds in the network context. Bargaining within the network is not costly. The network's own governance system is the low-cost mechanism for resolving disputes, calibrated over decades or centuries of practice. And the value of the club good cannot be reduced to a dollar figure, because that value depends on the credibility of the exclusion threat, which is precisely what the damages remedy undermines. Awarding damages does not transfer a right from one party who values it less to another who values it more (the standard justification for a liability rule). Awarding damages degrades the right. No subsequent transaction can restore a governance system whose credibility depended on the certainty of exclusion.

Once exclusion authority becomes a liability rule, the club good that the credible threat of exclusion sustained begins to lose its defining feature: excludability. If an expelled member can obtain judicial reinstatement, or if expulsion is delayed by procedural requirements, or if the breacher can pay damages and continue operating within the network, then rule-breakers are no longer reliably excluded. As excludability erodes, the club good degrades toward a public good. Olson's logic applies: when the benefit is available to everyone regardless of contribution, rational actors stop contributing.[60]

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[59] Calabresi & Melamed, *supra* note 15, at 1106-10 (arguing that liability rules are preferable when transaction costs make bargaining impractical and when courts can assess the value of the entitlement with reasonable accuracy).

[60] Olson, *supra* note 45, at 53-65.

Bohnet, Frey, and Huck demonstrated the crowding-out dynamic experimentally.[61] Medium-level contract enforcement, precisely the kind courts provide when they review network decisions one at a time, crowds out cooperative behavior more effectively than either no enforcement or total enforcement. At medium levels of enforcement, participants cannot tell whether cooperation or enforcement is sustaining the relationship, and the uncertainty itself erodes voluntary compliance. Partial judicial intervention sends a signal that the network's own governance is insufficient and that external authority is substituting for it. Members who were cooperating voluntarily begin treating compliance as someone else's problem. Frey documented the behavioral parallel: external regulation that replaces self-governance crowds out the intrinsic motivation to cooperate, producing less compliance than the self-governance the regulation displaced.[62] Ostrom documented the outcome directly: when government regulators imposed formal rules on communities that had been governing shared resources through informal institutions, the communities stopped self-governing, and the formal rules proved less effective than the informal ones they replaced.[63]

Pildes identified this dynamic in a broader context: law can destroy social capital by displacing the institutions through which communities govern themselves.[64] When external legal authority substitutes for self-governance, it crowds out the cooperative norms that made self-governance effective. DeCaro, Schlager, and Ruhl's "state-reinforced self-governance" framework identifies the design conditions under which government intervention supports rather than destroys self-governance. The key condition is that the intervention must recognize and preserve the community's autonomous authority to devise its own rules.[65] Court intervention that substitutes judicial judgment for network judgment fails this condition. Ostrom's Design Principle 7 ("minimal recognition of rights to organize") captures the same insight: self-governing communities require external recognition of their right to govern without interference, and withdrawal of that recognition triggers governance collapse.[66]

An objection presses at this point: court enforcement is more transparent and harder to abuse than network governance. Courts follow rules of procedure, publish opinions, and answer to appellate courts. Network governance is opaque, discretionary, and vulnerable to capture by insiders. The objection has force, but it compares the wrong things. Courts are superior at transparent, rule-based enforcement in disputes between a buyer and a seller who transacted

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[61] Iris Bohnet, Bruno S. Frey & Steffen Huck, *More Order With Less Law: On Contract Enforcement, Trust, and Crowding*, 95 AM. POL. SCI. REV. 131, 131-44 (2001) (providing experimental evidence that medium levels of enforcement crowd out cooperative behavior more effectively than either no enforcement or total enforcement, because at medium levels participants cannot distinguish whether cooperation or enforcement sustains the relationship). Bohnet, Frey, and Huck tested crowding-out between pairs of contracting parties, not at the network level. The mechanism they identify (partial external authority crowds out voluntary compliance) is the same mechanism at work when courts partially displace network governance, but the experimental setting does not replicate the collective-governance dimension directly.

[62] Bruno S. Frey, *Crowding Out and Crowding In of Intrinsic Motivation*, 1 Reflexive Governance for Global Public Goods 75 (2012).

[63] Ostrom, *supra* note 22, at 95-102 (showing that external regulation can "crowd out" voluntary compliance by signaling to participants that their self-governance is no longer trusted or valued).

[64] Richard H. Pildes, *Democracy, Anti-Democracy, and the Canon*, 17 CONST. COMMENT. 295, 295-319 (2000).

[65] Denise D. DeCaro, Steven E. Schlager & J.B. Ruhl, *Integrating Institutional and Behavioural Approaches to Governance*, 16 Ecology & Soc'y 8 (2011).

[66] Ostrom, *supra* note 22, at 178-84 (Design Principle 7: self-governing communities require external recognition of their right to govern without interference).

once. Network governance is superior at one specific task: maintaining the shared confidence that makes cooperation rational across a community of repeat players. Courts lack what the network has: relationship-specific information, reputational knowledge, and contextual flexibility. Each institution is better at a different task. The relevant question is which institution handles this particular task with fewer destructive side effects. Hirschman's framework explains the disciplinary mechanism that keeps network governance accountable: if a bourse's arbitration system becomes corrupt or incompetent, members exit.[67] When enough members exit, the bourse loses its value. That disciplinary mechanism is unavailable when a court handles enforcement, because litigants do not choose their court the way members choose their bourse.

A Diamond Dealer Defaults

A concrete example makes the mechanism visible from both the individual and the network perspective.

Dealer A buys $100,000 in rough diamonds from Supplier B on oral credit and does not pay. Under contract doctrine's standard framework: who was harmed: Supplier B, who was promised $100,000. How much harm: $100,000. Making whole: a court awards Supplier B $100,000 in expectation damages. Case closed.

From the network's perspective: who was harmed: every member of the bourse who relied on the threat of expulsion to make handshake credit possible. How much harm: not $100,000 but the aggregate value of the shared confidence that made unsecured credit possible across the entire network. Making whole: paying Supplier B does not restore the confidence every other dealer relied on, because every other dealer has just watched a cheater pay a judicially determined fee and retain membership. Case closed: the matter is just beginning, because every dealer who extended credit on a handshake must now recalculate whether the handshake is still worth anything.

No amount of money paid to Supplier B addresses the harm to the network. A court could double or triple the damages. The governance system would still deteriorate, because the problem is not the amount but the category of remedy. Expulsion removes the cheater from the network. Damages leave the cheater inside the network at a judicially determined price. Every other member who observes that outcome receives a concrete demonstration that default does not lead to exclusion. That demonstration cannot be undone by adjusting the price.

Scott, Gulati, and Choi demonstrated a parallel problem in sovereign debt: the standard model of debt enforcement, which looks only at the relationship between debtor and creditor, systematically mispredicts creditor behavior because enforcement depends on collective action among creditors rather than individual litigation.[68] When a single creditor holds out from a restructuring and demands full payment through litigation, the holdout undermines the collective restructuring that would have benefited every creditor. In network governance, a court remedy

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[67] Hirschman, *supra* note 42, at 30-39 (arguing that organizations function best when members can exit in response to declining quality, because the threat of exit disciplines the organization's governance).

[68] Stephen J. Choi, Robert E. Scott & G. Mitu Gulati, *Contractual Landmines*, 41 Yale J. on Regul. 307 (2024) (analyzing how individual enforcement of collective contractual rights in sovereign debt undermines the collective mechanisms that the contracts were designed to sustain); *see also* Stephen J. Choi, G. Mitu Gulati & Robert E. Scott, *Anticipating Venezuela's Debt Crisis: Hidden Holdouts and the Problem of Pricing Collective Action Clauses*, 100 B.U. L. Rev. 253 (2020).

that looks only at the parties to a deal destroys the collective enforcement that kept every member honest. Both contexts reveal the same structural deficiency: a framework that accounts only for the parties to the contract correctly describes the formal legal relationship but incorrectly describes the institutional reality.

Courts Encounter This Problem Across Four Doctrinal Contexts

The property-rule-to-liability-rule conversion is not hypothetical. Courts encounter it in four doctrinal contexts involving live litigation and current regulatory frameworks: trade usage under the Uniform Commercial Code, judicial review of expulsion from exchanges and cooperatives, antitrust treatment of network exclusion, and platform governance. In each context, courts identify the expelled or aggrieved individual as the injured party and fashion remedies accordingly, without recognizing that the network's governance system is also harmed.

Codifying Trade Usage Severs Norms from Enforcement

Section 1-303(c) of the Uniform Commercial Code allows courts to supplement the written terms of a contract with trade usages: customs so widely followed in an industry that parties are assumed to have incorporated them into their deal.69 When a trade usage is actually a network governance rule, a standard enforced through communal expulsion rather than individual lawsuits, treating that rule as a contractual term between two parties severs the rule from the collective enforcement that gave it power.

Bernstein's empirical findings illuminate the gap. In the diamond industry, customs governing payment terms, inspection procedures, and dispute resolution operate within a self-contained governance system backed by mandatory arbitration and expulsion, not as implied terms enforceable in court.[70] In the cotton industry, Bernstein found that the norms governing actual behavior within the network differ materially from the norms courts would recognize as trade usages.[71] Bernstein's distinction between "relationship-preserving norms" and "endgame norms" captures the problem precisely.[72] Diamond dealers follow relationship-preserving norms in day-to-day trading: pay on a handshake, resolve disputes through the bourse, accept the arbitrator's judgment. Those norms work because dealers expect to keep trading and because expulsion makes compliance rational. When a court picks up those norms and treats them as implied contract terms, the court applies the norms as endgame norms: the relationship is over, the parties are in litigation, and the court uses the norms to measure damages. The norms were not designed for that purpose.

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[69] U.C.C. § 1-303(c) (AM. L. INST. & Unif. L. Comm'n 2014).

[70] Bernstein, *supra* note 2, at 121-28 (documenting that diamond industry customs operate within a self-contained governance system backed by mandatory arbitration and expulsion, not as implied terms enforceable in court).

[71] Bernstein, *supra* note 4, at 1745-60 (finding that the norms governing actual behavior within the cotton industry differ materially from the norms courts would recognize as trade usages).

[72] *Id.* at 1750-60 (distinguishing relationship-preserving norms, which govern ongoing dealings and depend on the expectation of future transactions, from endgame norms, which govern when the relationship is over and the parties are in litigation).

A court asked to identify the trade usage governing diamond payment terms will state the rule precisely enough to generate a damages calculation, something like "payment is due within forty-five days of delivery." But the actual norm is far more contextual: payment is expected promptly, but the timing is flexible; the network tolerates short delays for good reasons but not for bad ones; and the community, not a fixed rule, determines what counts as a good reason.[73] Judicial restatement will be accurate in surface content but wrong in operative function, because it strips the norm of the flexibility and the collective enforcement that made the norm effective. In *Barrow-Shaver Resources Co. v. Carrizo Oil & Gas, Inc.*, the Texas Supreme Court let a jury decide whether oil and gas industry trade usage incorporated a reasonableness standard into an express consent clause, with five amici filing briefs asserting competing versions of industry norms.[74] The case illustrates how courts juridify flexible industry customs: what was a contextual community judgment becomes a question for twelve strangers to resolve based on competing expert testimony.

Reviewing Expulsion Ignores the Governance Function

Courts reviewing expulsions from exchanges, cooperatives, and trade associations apply a standard drawn from the common law of voluntary associations: the expulsion must comply with the organization's own rules, must not be arbitrary, and must afford the expelled member procedural fairness.75 Did the member receive notice? Was there a hearing? Was the punishment proportionate?

In *Silver v. New York Stock Exchange*, the Supreme Court required "adequate procedural safeguards" before allowing the exchange to regulate membership.[76] Silver's requirement amounts to telling the network that self-governance is permitted only if the network governs the way a court would. Whether those procedural safeguards might weaken the governance function by making expulsion slower, more expensive, and less certain did not enter the analysis.

In *Northwest Wholesale Stationers, Inc. v. Pacific Stationery & Printing Co.*, a cooperative buying association expelled a member, and the expelled member sued under the Sherman Act claiming the expulsion was a group boycott.[77] The Court acknowledged that "[w]holesale purchasing cooperatives must establish and enforce reasonable rules in order to function effectively," but treated that acknowledgment as a reason to evaluate the practice under the rule of reason rather than per se condemnation.[78] The Court did not treat it as a reason to ask whether the enforcement mechanism itself is the governance asset every other cooperative member depends on. Consider what happened from the remaining members' perspective. The cooperative was a group of independent retailers who pooled purchasing power to buy inventory at lower prices. Each member paid dues, submitted to rules, and accepted the cooperative's authority over membership. The cooperative's ability to expel a member who violated the rules gave every

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[73] Bernstein, *supra* note 2, at 129-31 (describing the deliberate vagueness of diamond network rules, which allows the community to distinguish between innocent and strategic defaults).

[74] *Barrow-Shaver Res. Co. v. Carrizo Oil & Gas, Inc.*, 590 S.W.3d 471 (Tex. 2019).

[75] *See* Silver v. New York Stock Exch., 373 U.S. 341 (1963); Nw. Wholesale Stationers, Inc. v. Pac. Stationery & Printing Co., 472 U.S. 284 (1985).

[76] *Silver*, 373 U.S. at 364.

[77] Nw. Wholesale Stationers, Inc. v. Pac. Stationery & Printing Co., 472 U.S. 284 (1985).

[78] *Id.* at 296-97.

other member confidence that the cooperative would function honestly. The Court asked only whether Pacific Stationery lost access to something Pacific needed to compete. The Court never asked what remaining members lost when the cooperative's expulsion authority became subject to judicial review.[79]

In *MFS Securities Corp. v. SEC*, the Second Circuit reviewed the New York Stock Exchange's termination of an independent floor broker's membership.[80] The case illustrates the institutional cost of judicial review: even where the court ultimately upheld the exchange's disciplinary action, the review process itself introduced years of uncertainty during which the expelled member continued to contest the termination and every other exchange member observed that expulsion was not immediate or final.

In *Alpine Securities Corp. v. FINRA*, decided in 2024, the D.C. Circuit reviewed FINRA's disciplinary procedures while the expelled member sought continued operation.[81] Alpine Securities illustrates how the property-rule-to-liability-rule conversion proceeds incrementally: FINRA retains authority to discipline and expel members, but that authority is now qualified by the possibility that a court will stay the expulsion, review the procedures, and reverse the decision. Every other FINRA member observes this qualification.

Courts have gone further than review. In *Higgins v. American Society of Clinical Pathologists*, the New Jersey Supreme Court ordered reinstatement of a member who had been expelled from a national professional society, distinguishing between compelling initial admission (which courts generally will not do) and compelling reinstatement of a wrongfully expelled member (which courts will).[82] *Higgins* illustrates the displacement of calibration authority that Ali and Miller's analysis predicts: the professional society expelled a member based on its assessment of the member's conduct; the court substituted its own judgment about the propriety of the expulsion and ordered the society to take the member back. The society lost not only its expulsion decision but its readmission decision. Every other member observed that the society's governance authority extended only as far as a court would allow.

In all of these cases, courts asked whether the expelled member received fair treatment. In none of them did a court ask what the remaining members lose when exclusion authority becomes subject to external review.

Antitrust Frames Exclusion as Restraint Rather Than Governance

Antitrust law treats network exclusion as a potential restraint of trade. When a network expels a member, the expelled party may claim that the expulsion is a concerted refusal to deal.83 The Northwest Wholesale Stationers framework asks whether the network has market power and whether the expelled member lost access to something essential for competition. The framework

[79] *Id.* at 295-300 (analyzing expulsion solely in terms of its competitive effect on the expelled member, without considering whether the power to expel was the mechanism that made the cooperative's purchasing arrangement valuable to every other member).

[80] MFS Sec. Corp. v. SEC, 380 F.3d 611 (2d Cir. 2004).

[81] Alpine Sec. Corp. v. FINRA, 121 F.4th 1314 (D.C. Cir. 2024).

[82] Higgins v. Am. Soc'y of Clinical Pathologists, 51 N.J. 191, 238 A.2d 665 (1968) (ordering reinstatement of expelled member and holding that courts will intervene to restore pre-existing membership when the expulsion procedures were inadequate).

[83] *See* Nw. Wholesale, 472 U.S. at 295-98.

has the analysis backwards: it asks whether the excluded party suffered competitive harm, not whether exclusion serves a governance function that every other member depends on.

Network exclusion is not without risk of abuse. The Associated Press used membership exclusion to suppress competition from rival news services.[84] The Fashion Originators' Guild used group boycotts to punish retailers who sold competing designs.[85] The Maghribi coalition's ethnic boundaries, whatever their governance function, also excluded non-Maghribi traders from profitable routes.[86] Any framework that recognizes network governance must account for the risk that governance-serving rhetoric will mask anticompetitive behavior.

An expulsion triggered by a member's failure to pay debts, comply with arbitration awards, or submit to the network's dispute resolution procedures serves the governance function: these are the obligations that maintain shared confidence across the network. An expulsion triggered by a member's decision to cut prices, sell to nonmembers, or refuse to participate in a coordinated pricing arrangement does not serve the governance function. It serves cartel maintenance. Antitrust's own rule-of-reason analysis already provides the doctrinal framework for drawing this line.

The Supreme Court's treatment of cooperative arrangements in *BMI v. Columbia Broadcasting System* provides the foundation. The *BMI* Court recognized that some collective arrangements among competitors produce shared benefits that no individual member could create alone, and that condemning such arrangements outright destroys those shared benefits without advancing competition.[87] Network governance produces a shared benefit of the same kind: the collective enforcement mechanism creates governance infrastructure that no individual member could build or maintain independently. Easterbrook argued that antitrust courts must consider the full range of effects when evaluating restraints in cooperative ventures, because the same restraint that limits one dimension of competition may be necessary to produce the cooperative benefit that enables another.[88] Areeda and Hovenkamp's treatise identifies membership exclusion from a joint venture as a practice that courts evaluate by asking whether the exclusion is "reasonably necessary" to the venture's legitimate purposes, not by asking only whether the excluded member suffered competitive harm.[89]

Platform Deactivation Raises the Same Wrong-Plaintiff Problem

Online marketplaces (Amazon Marketplace, Uber, Airbnb) operate governance systems with structural parallels to the diamond network. A buyer on Amazon has never met the seller, has no contract with the seller beyond the platform's terms of service, and has no realistic ability to investigate the seller's reliability. What makes the buyer willing to transact is the platform's governance system: ratings, reviews, and the threat of deactivation function as reputational

[84] Associated Press v. United States, 326 U.S. 1, 13-18 (1945) (finding that the AP's membership exclusion practices functioned as an anticompetitive restraint).

[85] Fashion Originators' Guild of Am., Inc. v. FTC, 312 U.S. 457, 463-68 (1941) (finding that a trade association used exclusionary practices to enforce a group boycott against competitors).

[86] Greif, *supra* note 3, at 525-30.

[87] BMI v. Columbia Broad. Sys., Inc., 441 U.S. 1 (1979).

[88] Frank H. Easterbrook, *The Limits of Antitrust*, 63 TEX. L. REV. 1, 1-40 (1984).

[89] Phillip E. Areeda & Herbert Hovenkamp, Antitrust Law: An Analysis of Antitrust Principles and Their Application 1 (4th ed. 2013).

sanctions backed by expulsion. Tadelis drew the parallel explicitly, noting that platform feedback systems perform the same information-dissemination function as Milgrom, North, and Weingast's centralized record-keeper at the Champagne Fairs.90

When courts review platform deactivation decisions one user at a time, asking whether a particular seller or driver received adequate process, the analysis replicates the same wrong-plaintiff problem. The deactivated user is visible and sympathetic. The harm to the platform's governance system, sustained by the credible threat of deactivation, is invisible to the court. In *NetChoice, LLC v. Paxton*, the court recognized platform editorial discretion as constitutionally protected, effectively preserving one form of exclusion authority.[91] Van Loo has proposed "Federal Rules of Platform Procedure" that would require platforms to provide notice, hearing, and appeal before deactivating users, analogous to the procedural requirements *Silver* imposed on stock exchanges.[92] Cohen argued that platforms do not merely enter or expand existing markets; platforms replace and rematerialize them, creating governance structures that are functionally new even when they resemble historical predecessors.[93]

The regulatory trend is already visible. The EU's Digital Services Act requires platforms to provide reasons for moderation decisions, to offer internal complaint mechanisms, and to submit to external dispute resolution.[94] These procedural safeguards, like those the *Silver* Court required of the NYSE, may weaken the governance function by constraining the platform's ability to act quickly on pattern-recognition before misconduct has been fully documented.

Platform governance differs from collective network governance in one important respect: a platform operator makes deactivation decisions unilaterally, whereas a diamond bourse or cotton association acts through collective governance processes in which members participate. The platform's incentives are profit-driven, not governance-driven. A bourse expels a cheater because the bourse's members collectively benefit from the enforcement. A platform deactivates a seller because the platform's revenue depends on buyer confidence. The structural parallel holds where the mechanism is the same (the credible threat of deactivation sustains buyer willingness to transact, just as the credible threat of expulsion sustains dealer willingness to extend credit) and breaks down where the decision-making authority differs (unilateral corporate decision versus collective governance process). Where the parallel holds, one-at-a-time judicial review of deactivation decisions threatens platform governance in the same way judicial review of expulsion decisions threatens network governance. Where the parallel breaks down, a separate analysis is needed, one that accounts for the platform operator's dual role as both governor and profit-maximizer.

Conclusion

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[90] Stefano Tadelis, *The Economics of Reputation and Feedback Systems in Online Markets*, 25 J. ECON. PERSPECTIVES 193, 193-215 (2011).

[91] NetChoice, LLC v. Paxton, 573 F. Supp. 3d 1092 (W.D. Tex. 2021).

[92] Rory Van Loo, *Federal Rules of Platform Procedure*, 88 U. CHI. L. REV. 829 (2021).

[93] Julie E. Cohen, CONFIGURING THE NETWORKED SELF: LAW, CODE, AND THE PLAY OF EVERYDAY PRACTICE (2012).

[94] European Union Digital Services Act, Arts. 17, 20-21 (2022) (requiring platforms to provide reasons for content moderation decisions and to offer internal complaint mechanisms).

This Article makes a diagnostic claim. Contract remedies doctrine identifies the individual promisee as the injured party when breach occurs within a collectively governed trading network. That identification is incomplete. An injured party is also the network: every member whose willingness to cooperate depended on the credible threat of exclusion. Judicial intervention that displaces the network's exclusion authority, whether by awarding damages, imposing procedural requirements, or staying an expulsion pending review, converts that authority from a property rule into a liability rule. The conversion degrades the club good that the credible threat of exclusion sustained into a public good subject to free-riding. Governance deteriorates.

Identifying the network as an injured party is a necessary first step toward understanding the full consequences of judicial intervention. That step is analytically prior to choosing a remedy. The difficulty of fashioning a damages award for network harm does not defeat the diagnostic claim. It confirms it. If the harm to the network could be captured in a dollar figure, a liability rule might suffice. Because the harm consists in the degradation of a governance system whose value depends on the credibility of exclusion, no dollar figure can capture it. The difficulty of measurement is not a reason to compensate the wrong party for the wrong harm. Awarding damages to the wrong person for the wrong harm is what courts do now. The difficulty of measuring network harm is a reason for caution before intervening in governance systems that the parties deliberately chose over formal law.

Several remedial possibilities deserve further exploration, though this Article leaves the remedial question open. Courts might enforce network arbitration agreements under a framework analogous to the Federal Arbitration Act's presumption in favor of arbitrability, protecting the network's dispute resolution system from judicial displacement.[95] A standing doctrine might give network members a voice in litigation involving the network's expulsion authority, so that the interests of remaining members are represented when an expelled member challenges the expulsion.[96] Or courts might decline to incorporate network customs as trade usages under UCC section 1-303 when those customs serve a governance function rather than a price-setting function. Each possibility raises its own difficulties, and the remedial analysis lies beyond this Article's scope.

Trading networks that govern through collective exclusion support billions of dollars in unsecured credit annually. Common-pool resource communities manage fisheries, forests, and irrigation systems that millions of people depend on. Digital platforms mediate trillions of dollars in annual transactions. In each setting, when a court identifies only the individual promisee as the injured party, the remedy does not merely fail to compensate the right party. The remedy converts exclusion from a property rule into a liability rule. That conversion degrades the credible threat of exclusion from a club good into a public good. And because network governance has no external mechanism to sustain it once excludability is gone, the governance system that members built, maintained, and relied on begins to unravel.

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[95] *See* 9 U.S.C. §§ 1-16 (establishing the Federal Arbitration Act's presumption that arbitration agreements are valid and enforceable).

[96] *Cf.* Fed. R. Civ. P. 24 (permitting intervention by parties with an interest in the subject matter of litigation who may be impaired by the disposition).